>
VOL. I WEEKDAY EDITION

THE ELON GAZETTE

Weekday briefing on what Elon Musk is saying and doing

WEDNESDAY, OCTOBER 21, 2026

THE MORNING PICTURE

"A lot of merit to combining the companies"

On SpaceX's third-quarter webcast Tuesday, Elon Musk said SpaceX and Tesla have each formed special committees of independent directors to explore a merger. "Because I'm a conflicted party, I can't actually be in the discussions of the special committees," he said, The Guardian reported. "I think some people out there assume that a SpaceX and Tesla merger is a certainty and I think that would be overstating it." No terms have been agreed.

The call followed results that beat forecasts: revenue of $14.6 billion, up 161%, and net income of $4.4 billion (SpaceX). Tesla reports its own quarter after Wednesday's close, with a webcast at 5:30 p.m. EDT.

I · SPACEX

A profit, and a catch attempt next month

"As crazy as this sounds, $1T in SpaceX revenue in 2028 is no longer impossible," Musk posted after the call.

$14.6B	$7.6B	13.6M
third-quarter revenue, up 161% from a year earlier	from the Super Intelligence (SI) segment, now the largest	Starlink consumer subscribers on September 30

SpaceX's AI business, which it calls Super Intelligence, brought in $7.6 billion, mostly from renting computing capacity to developers such as Anthropic, Google and Reflection AI, Reuters reported; it also took $16.4 billion of the quarter's $19.6 billion in capital spending. "We are in an inflection moment for SpaceX across launch, connectivity and superintelligence," Musk said on the call. At 6:05 p.m. EDT he posted: "As crazy as this sounds, $1T in SpaceX revenue in 2028 is no longer impossible." Overnight he quoted the company's results post: "Congrats SpaceX team!"



The launch tower's arms catch a Super Heavy booster at Starbase, Texas, during Starship's fifth flight test on Oct. 13, 2024. No ship has been caught yet.

PHOTO: STEVE JURVETSON / WIKIMEDIA COMMONS · CC BY 2.0 (CROPPED)

Starship Flight 15, "expected to happen next month," will try to catch both the booster and the ship, Musk said, according to Spaceflight Now: "Success is not guaranteed on these first flights, but I'd say it's more likely than not that this succeeds next flight." He expects Starship to fly "weekly at some point in the first half of next year and then second half of next year, twice weekly or maybe even more frequently than that by the end of next year."

Starlink as a phone carrier

Musk said SpaceX sees "a clear path to several hundred billion dollars a year in connectivity revenue" and should lay out its Starlink Mobile plan in a longer presentation, The Verge reported. To an investor who called that a "phenomenal idea," he replied at 5:59 p.m. EDT: "We definitely need to explain this in detail. Veterans of the cellular industry look at the chess board of existing pieces and don't see a solution. They don't understand that SpaceX is developing entirely new pieces that fundamentally alter the strategic landscape."

On the call, SpaceX said 85% to 93% of mobile traffic already runs over Wi-Fi, that S-band spectrum should carry most Starlink Mobile traffic, with the 800 MHz airwaves it agreed to buy on October 8 reaching inside buildings, and that it plans to

fly Mobile V2 satellites on Starship in 2027 and switch on service in early 2028, TeslaNorth reported.

QUICK HIT

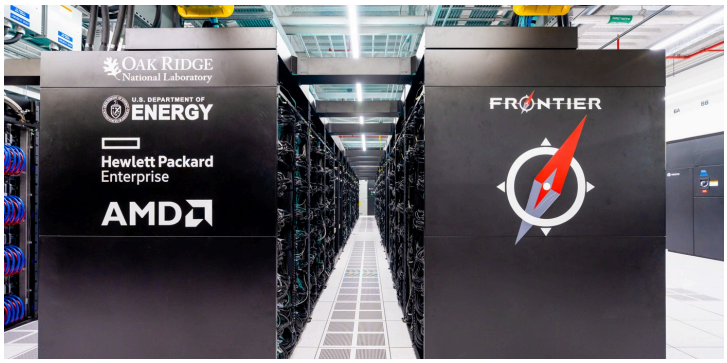
Order book. In the quarter SpaceX signed three more NASA space station crew missions, 18 National Security Space Launch missions and three commercial Starfall missions, and announced Starbase, Louisiana, a spaceport targeting its first launch in 2029, its release says.

II · CHIPS & COMPUTE

Terafab's "insanely fast" timeline

A first test chip by mid-2027, volume production possibly in late 2028.

Terafab, the chip venture of SpaceX and Tesla, aims for volume production by the third quarter of 2028 and a first test chip, built from static random-access memory (SRAM) circuits, around May or June next year at its research facility in Austin, Musk said on the call, Reuters reported. "I put big error bars on this because we don't know if we will actually achieve this or not," he said. "These are obviously like insanely fast time frames for chip production." Asked about orders for ASML's extreme ultraviolet (EUV) lithography machines, he thanked "ASML and all of our other suppliers in accelerating equipment deliveries."



Cabinets of the Frontier supercomputer at Oak Ridge National Laboratory in Tennessee.

PHOTO: OLCF AT ORNL / WIKIMEDIA COMMONS · CC BY 2.0

QUICK HIT

One building, one economy. Quoting a report that Terafab is in talks with Korean chip-equipment suppliers, Musk wrote at 1:02 p.m. EDT Tuesday: "The value of Terafab's output will place it in the top 20 of country GDP in a single building."

Earlier, replying to a post arguing that data-center capacity and electricity, not graphics-chip supply, are the real limits on AI, he wrote: "'Lack of electricity' is an oversimplification. Everything is hard about bringing massive compute online at extremely high speed. If there was twice as much time, this would be relatively easy, but there is not." SpaceX reached 1.7 gigawatts of nameplate compute on September 30, up from 1.4 at midyear, its release says.

III · TESLA

Results after Wednesday's close

Investors want to hear about Cybercab, FSD and Optimus as much as the numbers.

Analysts polled by Bloomberg expect revenue of $28.13 billion, roughly flat from a year earlier, and adjusted earnings of 44 cents a share, while Tesla's own compiled consensus puts free cash flow at negative $4.51 billion as capital spending climbs to $7.77 billion, Yahoo Finance reported. The top shareholder questions submitted ahead of the 5:30 p.m. EDT call ask how the Cybercab fleet will grow beyond Austin and when unsupervised FSD will reach customer cars, Not a Tesla App noted.

Tesla shares rose 1.5% Tuesday, the best of the "Magnificent Seven" megacaps, Investopedia reported, and added 1.2% after hours as Musk spoke about a merger, according to Bloomberg Law. Musk told SpaceX's call that a deal would need the approval of 50% of all Tesla shareholders, not only those voting.

The merger question

"I do think there's a lot of merit to combining the companies," Musk said. "There's a lot to be gained from cooperating on developing superintelligence software." SpaceX is valued at about $2 trillion and Tesla at nearly $1.5 trillion, and a combination would be the largest corporate tie-up ever, Bloomberg Law noted. Barclays suggested last week that a deal could be announced before Tesla's December 3 annual meeting, with SpaceX the likelier acquirer, though neither company nor Musk has committed to one, Reuters reported.

IV · X & GROK

"Big Grok @Bot update"

Musk promoted a new release of the company's AI agent twice in a minute.

"Big Grok @Bot update," Musk posted at 12:57 p.m. EDT Tuesday, sharing a video walk-through of new chat cards, speed gains, draft edits, email aliases, X direct messages, connectors and voice calls. A minute earlier he wrote "Grok @Bot upgrades" over a post saying version 0.71.2 accepts files up to 250 MB and videos up to 1 GB. SpaceX's results credit Grok Bot, which it calls "our always-on agentic SI system," among the drivers of its AI revenue.

The same report gives a rare look at X's business: advertising revenue, booked inside the SI segment, was $538 million in the third quarter, up from $367 million in the second quarter and $454 million a year earlier, according to the release. SpaceX also said it "accelerated Grok model release deployment" during the quarter.

> QUICK HIT
> **"True."** Musk agreed with Ashok Elluswamy, Tesla's head of AI software, who wrote: "In the age of super intelligence, the current standards of living will look medieval. The problems that society worries about right now will be largely irrelevant. It'll be the equivalent of current society worrying about the bubonic plague."

V · INTERVIEWS & APPEARANCES

Two earnings calls in two days

SpaceX's video webcast on Tuesday; Tesla's on Wednesday.

SpaceX third-quarter webcast

Tuesday, 4:30 p.m. EDT: Musk appeared with SpaceX President Gwynne Shotwell and Chief Financial Officer Bret Johnsen at the Starlink factory in Texas, The Guardian noted. "Video call," Musk posted beforehand over SpaceX's announcement of the stream, which SpaceX said would include him, Shotwell and Johnsen. A replay and transcript are to be posted on SpaceX's investor site, according to the release.

Coming up

Wednesday, October 21, 5:30 p.m. EDT: Tesla's third-quarter webcast (8-K). Thursday, December 3, 4:00 p.m. EST: Tesla's annual meeting, at Gigafactory Texas and online (VoteTesla).

Takeaways

1. Musk said SpaceX and Tesla committees are exploring a merger, without him.
2. SpaceX earned $4.4 billion on $14.6 billion in revenue.
3. Starship Flight 15 will try to catch both booster and ship next month.
4. Terafab is aiming for volume chip production in late 2028.
5. Tesla reports after Wednesday's close.

Sources

Posts by @elonmusk, @SpaceX, @SpaceflightNow and @aelluswamy.

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